

technologies (quantum computing, augmented analytics, autonomous things), areas VCs believe will define the next phase of India’s economic transformation.

These millennials, who have witnessed India’s transition from scarcity to abundance, are allocating capital differently.

“We have grown up seeing the scarcity that India has lived with since independence. And then, within our own lifetimes, we have seen a remarkable shift,” says Pranav Pai, Managing Partner at zone4 Capital.

Pai is recalling a time when each school had just one computer, typically used only by the teacher and guarded like a museum artifact. Now, a computer sits in every pocket; it is called a smartphone. From a technology viewpoint, it has been a miraculous 30 years.

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This shift is being shaped by a generation that has grown up alongside India’s digital vault from scarcity to scale, from limited telecom connectivity to near-universal access.

Having witnessed how quickly technology adoption reshaped daily life and the markets, Pai says young VCs are now backing founders who are focusing less on importing proven models and more on identifying foundational technologies that can originate from India.

Pai, who has a master’s degree in electrical engineering from Stanford University, co-founded zone4 Capital in 2016 after working at online learning platform Ed-Cast as a Senior Product Manager in San Francisco.

The start-ups he has backed include AI-powered HR management platform Darwinbox, remote patient monitoring company Dozee, deeptech start-up Agnit Semiconductors, air ambulance

TRACKING THE SHIFT

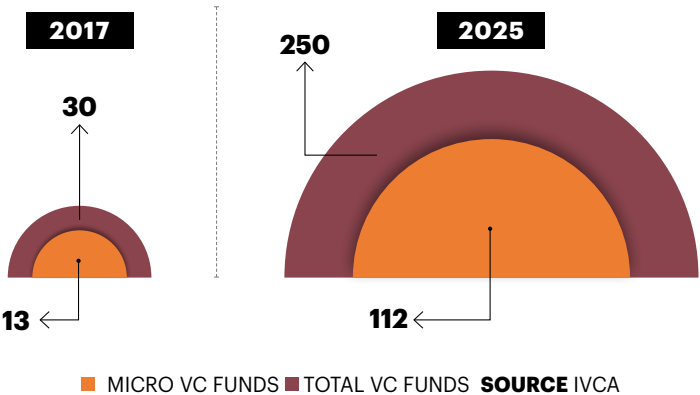
• B2C commerce has always been in focus. Since 2024, there has been a shift towards AI, GenAI, other tech

Year	Total Funding (in bn)	Number of Deals	Dominant Sectors
2021	\$38.5	1,545	B2C commerce, D2C, other consumer tech
2022	\$25.7	1,611	Other consumer tech, B2C commerce, fintech, SaaS
2023	\$9.6	880	B2C commerce, other consumer tech, fintech
2024	\$13.7	1,270	B2C commerce, other consumer tech, fintech, SaaS, AI/Gen AI, BFSI
2025	\$16.2	1,385	Fintech, SaaS, AI/GenAI, other tech

SOURCE BAIN & COMPANY

THE RISE OF MICRO VCs

- IVCA’s VC-only membership had 30 funds in 2017
- That number has grown nearly eightfold to 250



and taxi maker ePlane Company and online meat shop Licious.

Many of today’s emerging investors are former company founders, operators and product leaders who have grown alongside India’s digital economy.

India’s VC ecosystem has undergone a decisive structural shift over the past decade, and nowhere is this more visible than in the rise of micro VCs , says the Indian

Venture and Alternative Capital Association (IVCA).

According to the IVCA, the association’s VC-only membership was 30 a decade ago. Today, that number has grown nearly eightfold to 250 venture capital firms. Close to 45% are micro VCs.

VALLEY OF DEATH

These funds play a critical role in bridging the Valley of Death—the